VISA INC. · DISCOUNTED CASH FLOW VALUATION · INSTITUTIONAL REPORT

A Goldman / JPMorgan-style valuation package with driver-based revenue build, WACC sourcing, DCF scenarios, football field, valuation bridge and investment recommendation.

$285	8.5%	3.5%	Neutral
BASE-CASE IMPLIED PRICE	BASE WACC	TERMINAL GROWTH	RECOMMENDATION

PREPARED FOR

Recruiting Portfolio

FORMAT

Investment Banking Valuation Report

DELIVERABLES

PDF • Excel Model • GitHub README • Charts

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Recommendation: Neutral / Hold
Base-case implied share price: $285
Current share price: $352.20 as of 2026-07-07
Implied upside / (downside): -19.2%
Prepared: 2026-07-08

Disclaimer: Illustrative public-information valuation work product; not investment advice or a solicitation to buy/sell securities.

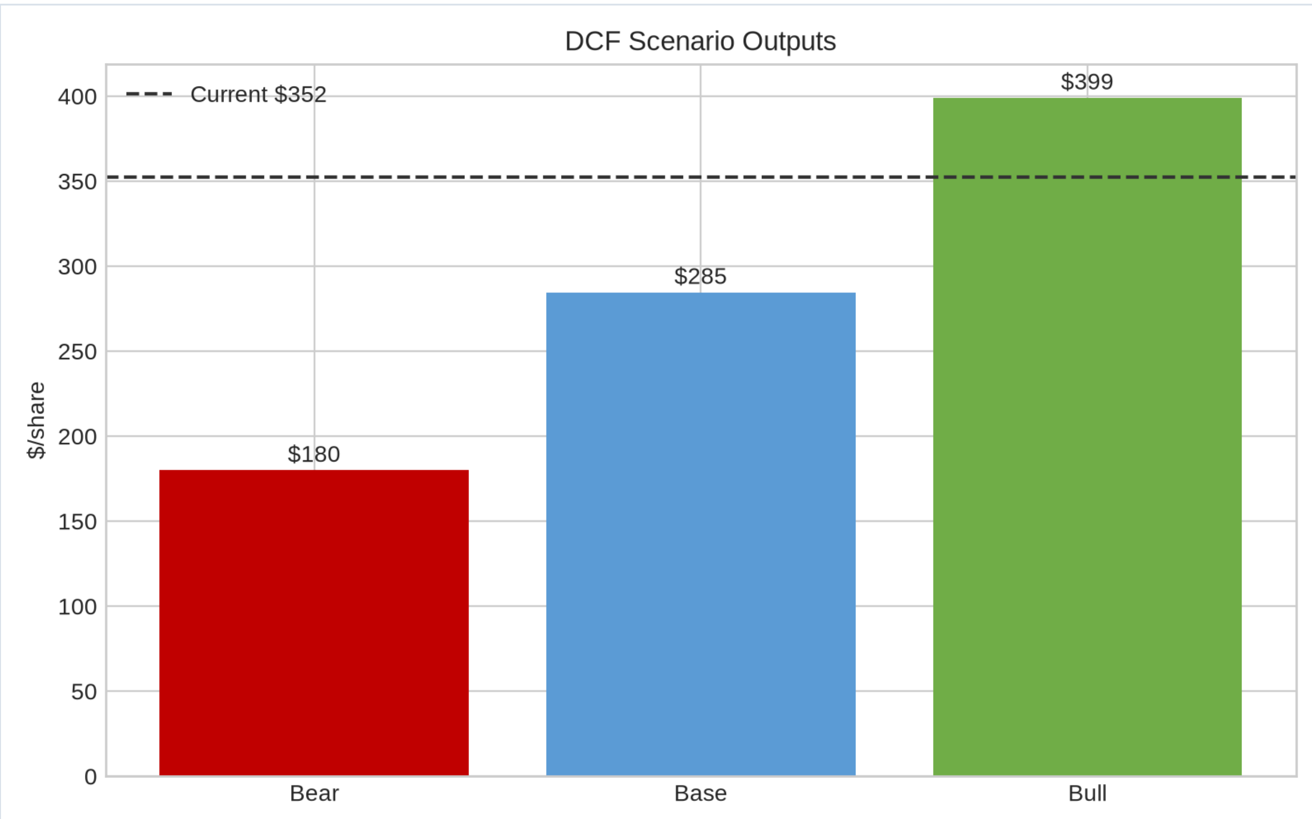
VP Review: What Was Upgraded

This revised package upgrades the initial DCF to an investment-banking analyst standard by adding a category-level revenue build, explicit WACC sourcing, terminal-growth rationale, Bull/Base/Bear scenarios, a football-field valuation, an enterprise-to-equity valuation bridge, source appendix, professional sensitivity formatting, and chart outputs.

1. Executive Summary

Visa remains a premier global payments compounder with scale-driven economics, high operating margins, secular cash-to-card conversion, cross-border recovery exposure, and expanding value-added-services monetization. However, the revised base-case DCF implies **$285/share**, below the current share price of **$352.20**, implying **-19.2%** downside. We therefore retain a **Neutral / Hold** recommendation: the franchise is exceptional, but the current entry point requires either lower discount rates, faster sustained revenue growth, or higher terminal economics than our base case.

VALUATION SNAPSHOT	BEAR	BASE	BULL
Revenue CAGR FY25-FY30	4.8%	8.9%	11.5%
FY30E Op. Margin	62.5%	65.0%	66.0%
WACC	9.0%	8.5%	8.0%
Terminal Growth	2.5%	3.5%	4.0%
Implied Share Price	$180	$285	$399
Upside / (Downside)	-48.9%	-19.2%	13.3%

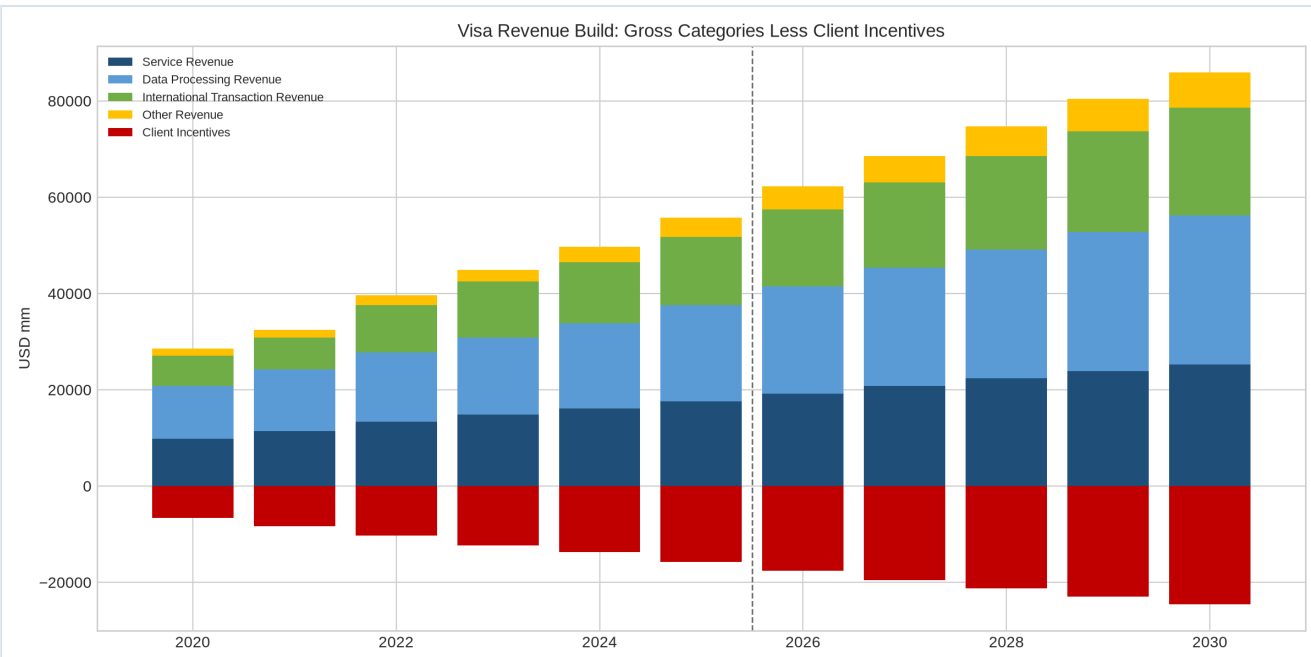


2. Company Overview and Revenue Model

Visa operates a global payment network that authorizes, clears and settles transactions among financial institutions, merchants, consumers, businesses and governments. Visa generally does **not** issue cards or extend credit; its revenue is earned from payment services, data processing, international transaction activity, value-added services and other fees, net of client incentives.

Revenue categories used in the upgraded model:

- **Service revenue:** client usage of Visa payment services and certain issuing solutions.
- **Data processing revenue:** authorization, clearing, settlement, network access and processing-related VAS.
- **International transaction revenue:** cross-border processing and currency conversion.
- **Other revenue:** advisory, other VAS, brand/license, certification and account-holder services.
- **Client incentives:** contra-revenue paid to issuers, sellers and partners to grow volume and acceptance.



3. Historical Financial Analysis

From FY2020 to FY2025, Visa revenue compounded at **12.9%** while maintaining structurally high profitability. FY2025 operating margin stepped down to **60.0%**, making margin normalization a central diligence item rather than a mechanical assumption.

FY	NET REVENUE	GROWTH	OPERATING INCOME	OP. MARGIN	NET INCOME	FCF	FCF MARGIN
FY20A	$21,846	—	$14,081	64.5%	$10,866	$9,704	44.4%
FY21A	$24,105	10.3%	$15,804	65.6%	$12,311	$14,522	60.2%
FY22A	$29,310	21.6%	$18,813	64.2%	$14,957	$17,879	61.0%
FY23A	$32,653	11.4%	$21,000	64.3%	$17,273	$19,696	60.3%
FY24A	$35,926	10.0%	$23,595	65.7%	$19,743	$18,693	52.0%
FY25A	$40,000	11.3%	$23,994	60.0%	$20,058	$21,577	53.9%

4. Revenue Forecast — Driver-Based Build

The prior model relied on consolidated revenue growth. The revised model forecasts the actual Visa revenue architecture. The base case assumes: (i) service revenue moderates from high-single/low-double digits as payment volume scales; (ii) data processing outgrows service revenue due to transaction growth and value-added processing; (iii) international transaction revenue benefits from cross-border recovery but tapers; (iv) other revenue / VAS grows fastest off a smaller base; and (v) client incentives remain elevated as a competitive investment in volume and acceptance.

BASE CASE CATEGORY GROWTH	FY26E	FY27E	FY28E	FY29E	FY30E	RATIONALE
Service Revenue	9.5%	8.5%	7.5%	6.5%	6.0%	Payment volume growth plus pricing / mix, tapering with scale.
Data Processing Revenue	11.5%	10.0%	9.0%	8.0%	7.0%	Transaction growth, network services and risk / processing VAS.
International Transaction Revenue	12.5%	11.0%	9.5%	8.0%	7.0%	Cross-border travel/e-commerce normalization, tapering toward sustainable growth.
Other Revenue	18.0%	15.0%	12.0%	10.0%	8.0%	Fastest growth from advisory, issuing solutions and other VAS off smaller base.
Client Incentives	12.0%	10.5%	9.0%	8.0%	7.0%	Incentives rise with renewals, acceptance expansion and issuer / partner competition.

BASE CASE REVENUE BUILD	FY25A	FY26E	FY27E	FY28E	FY29E	FY30E
Service Revenue	$17,539	$19,205	$20,838	$22,400	$23,857	$25,288
Data Processing Revenue	$19,993	$22,292	$24,521	$26,728	$28,867	$30,887
International Transaction Revenue	$14,166	$15,937	$17,690	$19,370	$20,920	$22,384
Other Revenue	$4,053	$4,783	$5,500	$6,160	$6,776	$7,318
Client Incentives	$15,751	$17,641	$19,493	$21,248	$22,948	$24,554
Net Revenue	$40,000	$44,576	$49,055	$53,411	$57,471	$61,323

5. Margin, Capex, Working Capital and FCF Assumptions

Base-case operating margin expands from FY2025's depressed level toward the historical mid-60s profile, but does not assume indefinite expansion above prior peak levels. Capex is held at 3.6% of revenue, broadly consistent with recent capital intensity, while working capital is modeled as 0.5% of incremental revenue given Visa's negative/low working-capital intensity but continued client incentive investment.

METRIC	FY26E	FY27E	FY28E	FY29E	FY30E
Operating Margin	63.0%	64.0%	64.5%	65.0%	65.0%
Unlevered FCF	$22,501	$25,163	$27,616	$29,951	$31,961
FCF Margin	50.5%	51.3%	51.7%	52.1%	52.1%

6. WACC — Explicit Inputs and Sources

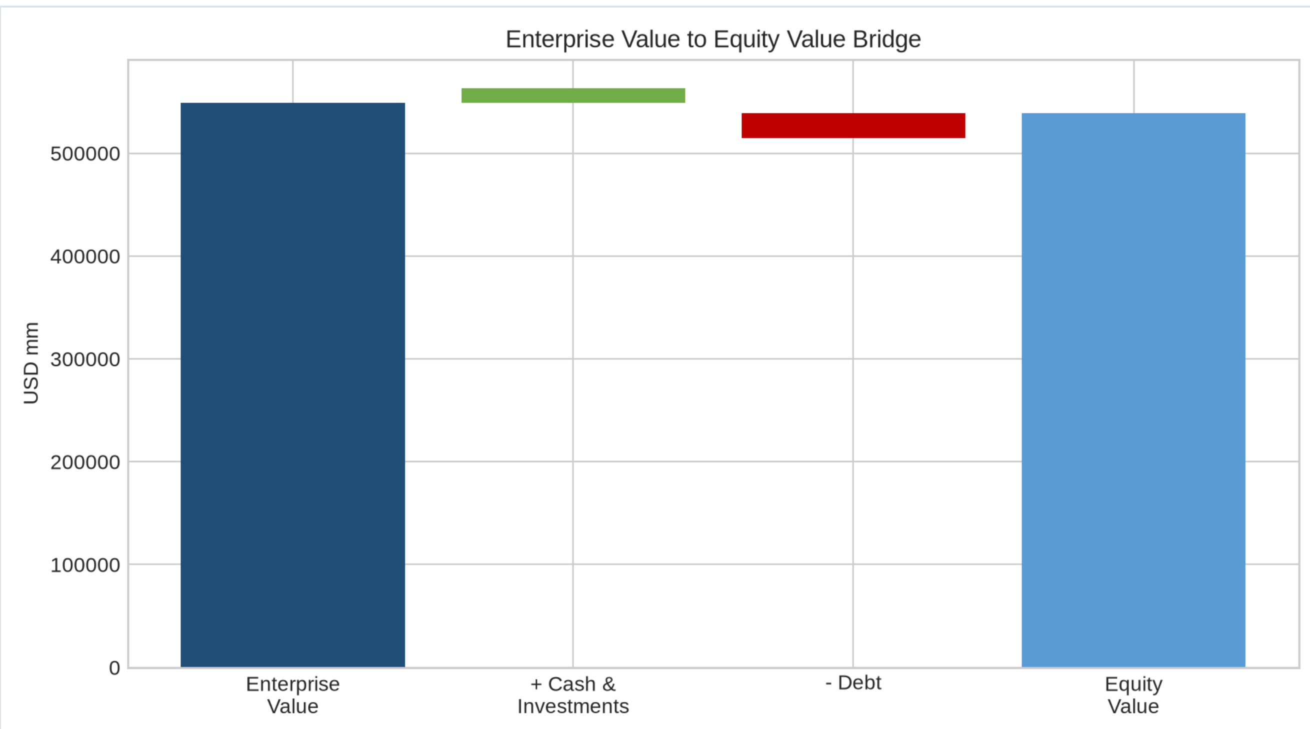
INPUT	ASSUMPTION	SOURCE / SUPPORT
Risk-free rate	4.5%	FRED DGS10 as of 2026-07-06
Beta	0.84x	5-year weekly regression of Visa vs SPY using Yahoo chart API (261 observations)
Equity risk premium	5.0%	Analyst assumption, benchmarked to common U.S. ERP market convention
Cost of equity	8.7%	CAPM = Rf + beta × ERP
Pre-tax cost of debt	5.1%	FRED ICE BofA AAA corporate effective yield as of 2026-07-06
Tax rate	19.0%	Normalized tax rate cross-checked to Visa recent effective tax rates
Equity / debt weights	96.5% / 3.5%	Market-value equity, book debt
WACC	**8.5%**	Weighted average cost of capital

7. Terminal Value and Terminal Growth Rationale

Base-case terminal growth is **3.5%**, positioned below the explicit FY2025—FY2030 revenue CAGR of **8.9%** and below WACC. The assumption reflects Visa's durable global payments penetration runway and inflation-linked nominal spend growth, but avoids extrapolating high explicit-period growth indefinitely. Bear case uses **2.5%**; Bull case uses **4.0%**.

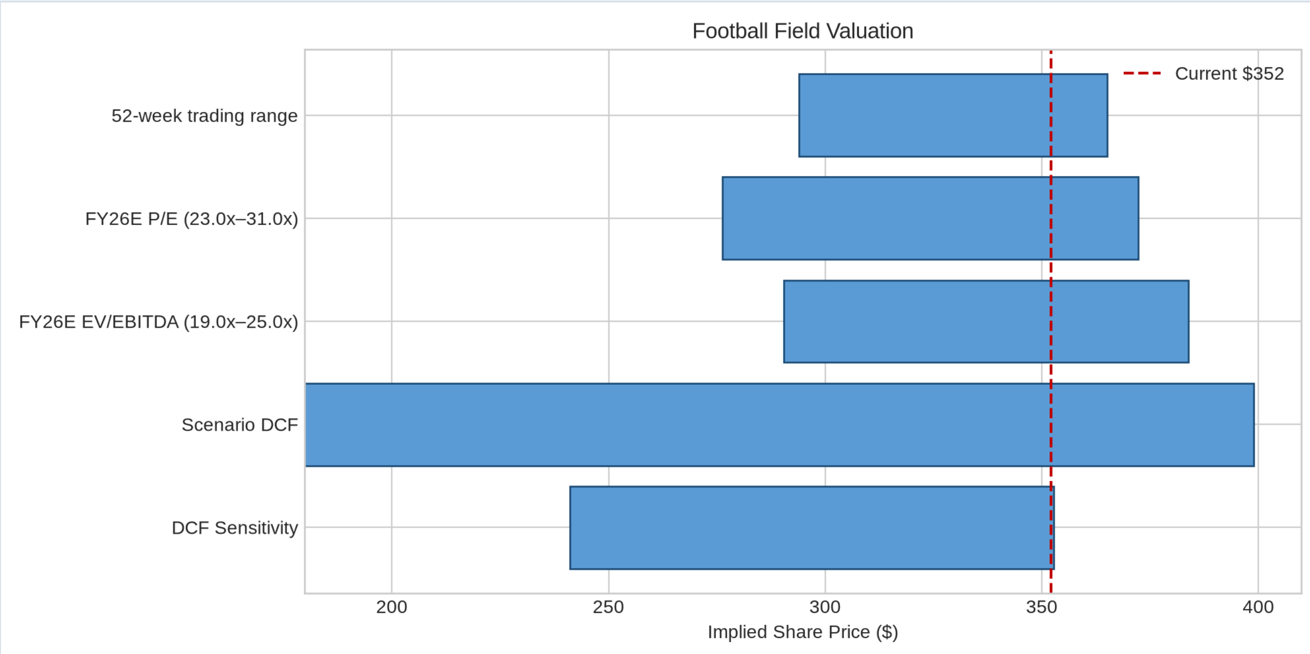
8. DCF Valuation

DCF BRIDGE	BASE CASE
PV of explicit FCFs	$111.0bn
Terminal value	$658.8bn
PV of terminal value	$437.7bn
Enterprise value	$548.7bn
Plus: cash and investments	$14.2bn
Less: debt	($24.0bn)
Equity value	$538.9bn
Diluted / as-converted shares	1,894mm
Implied share price	**$285**



9. Football Field Valuation

The football field triangulates DCF sensitivity, scenario DCF, market trading range and illustrative multiple-based approaches. It is intended as a valuation framing tool, not a substitute for refreshed public comps.



METHOD	LOW	HIGH
DCF Sensitivity	$241	$353
Scenario DCF	$180	$399
FY26E EV/EBITDA (19.0x—25.0x)	$290	$384
FY26E P/E (23.0x—31.0x)	$276	$372
52-week trading range	$294	$365

10. Sensitivity Analysis

Implied share price sensitivity to WACC and terminal growth:

WACC \ G	2.5%	3.0%	3.5%	4.0%	4.5%
7.5%	$296	$324	$359	$404	$464
8.0%	$268	$291	$318	$353	$397
8.5%	$245	$264	$286	$313	$347
9.0%	$226	$241	$259	$281	$307
9.5%	$209	$222	$237	$255	$276

11. Investment Banking-Level Recommendation

Recommendation: Neutral / Hold. Visa is a world-class compounder, but the valuation is already discounting a substantial amount of quality and durability. The revised model does not support an aggressive Buy recommendation at the current price unless the investor underwrites a Bull case with faster VAS / cross-border growth, sustained margin recovery above 65%, and/or a lower discount-rate environment.

Actionable framing:

- **Accumulate / Buy zone:** closer to the base-case DCF range, roughly **$285—$300**, absent a material positive thesis change.
- **Hold zone:** current trading range where the business quality is clear but valuation support is limited.
- **Upgrade triggers:** faster-than-modeled international and VAS growth, incentives leverage, margin recovery, or lower rates.
- **Downgrade triggers:** regulatory fee pressure, client incentive acceleration, cross-border weakness, or persistent margin dilution.

12. Key Risks

- **Regulatory / interchange:** Network fees, routing and interchange caps can pressure yields or incentive intensity. Monitoring: Track DOJ / EU / local network actions.
- **Client incentives:** Renewals and competition can consume gross revenue growth. Monitoring: Monitor incentives as % gross revenue.
- **Macro / cross-border:** Travel, consumer spend and FX drive high-yield volume. Monitoring: Track cross-border ex intra-Europe.
- **Competition:** Wallets, A2A, RTP, domestic schemes and merchant steering can pressure growth. Monitoring: Track adoption and acceptance.
- **Cyber / resilience:** Trust and uptime are mission critical. Monitoring: Monitor outages and cybersecurity events.
- **Valuation sensitivity:** Long-duration cash flows are rate-sensitive. Monitoring: Use WACC/g/scenario sensitivities.

Appendix — Sources

- Visa FY2025 Form 10-K, filed 2025-11-06 for period 2025-09-30.
- Visa latest Form 10-Q, filed 2026-04-29 for period 2026-03-31.
- SEC Company Facts API for historical financial statement and balance sheet data.
- Yahoo Finance chart API for share price, 52-week range and beta price series; price as of 2026-07-07.
- FRED DGS10 for risk-free rate (4.5% as of 2026-07-06).
- FRED ICE BofA AAA Corporate Effective Yield for debt cost proxy (5.1% as of 2026-07-06).
- Analyst assumptions: ERP, revenue category growth, margins, terminal growth and illustrative multiple ranges.